

**Justice (Retd.) R.M. Lodha Committee (In the matter of PACL Ltd.) –
Developments made by the Committee**

1. Objective

- 1.1. This memorandum seeks to update the Board on the developments made by Justice (Retd.) R.M. Lodha Committee (In the matter of PACL Ltd.), a Committee appointed by Hon'ble Supreme Court for the purpose of disposing of the properties of PACL Ltd. and making refund to investors who have invested their money in companies/ schemes that were operated by PACL Ltd. This update is pursuant to the information provided to the Board via information memorandum, placed before the Board during its meeting held on 12.09.2025.

2. Developments made by Justice (Retd.) R.M. Lodha Committee in the matter of PACL Ltd. are as follows:

- 2.1. Pursuant to the information provided earlier, the Committee has had further 7 meetings wherein around 100 agenda items inter-alia pertaining to refund activity, auction process, complaints from investors etc. were discussed and appropriate actions were undertaken. The Committee has so far held 144 meetings. The Committee has further periodically submitted reports before the Hon'ble Supreme Court including a status report dated 09.05.2026, a copy of which is attached as Annexure-A.
- 2.2. Since the last information provided to the Board, the Committee has effected refund to additional 13,58,269 eligible applications, an amount aggregating to 2,557.67 crores. Thus, as on 05.05.2026, the Committee has effected refunds in respect of 35,74,401 eligible applications aggregating to a total disbursal of ₹ 3,720.67 Crore. In the process, the Committee has refunded to all the eligible investors their eligible claim. The Committee has provided facility for investors to check the status of refund in SEBI PACL Refund Portal (<https://www.sebipaclrefund.co.in/Refund/Enquiry>) .

2.3. The Committee has been handed over possession of around 43,000 property documents belonging to PACL Ltd./PACL Associates, spread across 22 states in India. The Committee has issued communications to the Inspector General of Registrations of respective states to take necessary steps to not to effect the registration/mutation/sale etc. of the properties wherein PACL Ltd. and/or its group/associate companies, have, in any manner, a right/interest.

2.4. The Committee receives objections from various individuals/entities objecting the restraint on the properties. Earlier, a retired district judge, Shri R.S. Virk was appointed by the Committee to hear these objections and pass orders recommending either continuation of the restraint or to release the properties. However, vide order dated 08.08.2024, the Hon'ble Supreme court directed that, no new application/objection to be filed before Shri R.S. Virk, and the Committee may deal with such applications/objections, if filed before it, and dispose them of as per the provisions contained under Section-28A of the SEBI Act. In compliance thereof, The objection applications are heard by five Panels consisting of 03 Recovery Officers each. In terms of Standard Operating Procedure (SoP) for the Panel of Recovery Officers the cases are assigned to these 05 Panels on round robin basis.

2.5. The details of the number of applications/ objections that the Recovery Officers attached to the Committee have, as on date, attended is given below:

Table No. 1: Status of objections received

No. of objections	Sept .2025	May 2026
Received	418	695
Order has been passed	197	318
Pending	221	377

2.6. In terms of the directions contained in the order dated 19.02.2026 passed by the Hon'ble Supreme Court, 106 interlocutory applications falling within Category 'B' i.e. matters relating to appeals filed against the orders passed by Mr. R.S. Virk, are being examined and adjudicated by the Recovery Officers appointed under Section 28A of the SEBI Act, 1992. The said Recovery Officers exercise powers analogous to those vested in a Recovery Officer under Section 220 read with the Second Schedule to the Income-tax Act, 1961. The Hon'ble Supreme Court vide order dated 14.05.2026 has extended time for completion of hearing and passing order in such IAs by three months from 31.05.2026.

2.7. The status of hearing of IA before the Panel of Recovery Officers is as follows :

Table 2: Status of hearing before the Panel of Recovery Officers in 106 IAs referred by the Hon'ble Supreme Court as on 05.05.2026

Total number of IAs referred by Hon'ble Supreme Court	Total number of IA's heard	Hearing Status							
		Hearing conducted. Additional documents are to be provided by Objector	Adjournment			Hearing to be held	Order being prepared	Order prepared and circulated in Panel	Order Passed
			Adjournment - Medical Reason	Objector Not reachable	Objector not appeared/ Frequent Adjournment				
106	81	48	4	1	5	19	28	1	2

2.8. As enumerated in paras 3.9 and 3.10 in the information memorandum 2025, Committee has initiated the process for auction of properties of PACL in district clusters. The Committee has successfully undertaken auction of 904 properties in 31 districts spread across 7 states. So far properties worth approx. Rs. 3,894 Crore have been auctioned.

- 2.9. The Committee has approx. Rs. 1200 Crore in the designated bank account of the Committee. As way forward, the Committee has initiated providing rectification opportunity for all eligible investors for updation of bank account details. The window for the rectification is available from 07.05.2026 to 07.08.2026.
3. This memorandum is placed before the Board, for information.

Encls : Annexure-A (45 pages)

**Justice (Retd.) R.M. Lodha Committee (In the matter of PACL Ltd.) –
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1. Objective

1.1. This memorandum seeks to inform the Board, the developments made by Justice (Retd.) R.M. Lodha Committee (In the matter of PACL Ltd.), a Committee appointed by Hon'ble Supreme Court for the purpose of disposing of the properties of PACL Ltd. and making refund to investors who have invested their money in companies/ schemes that were operated by PACL Ltd.

2. Background

2.1. Securities and Exchange Board of India (SEBI) passed an Order dated 22.08.2014 holding that the schemes/plans run and operated by PACL Ltd. constitute Collective Investment Schemes ("CIS"), satisfying all the ingredients specified u/s. 11AA of the Securities and Exchange Board of India Act, 1992 (SEBI Act) and consequently, directed PACL Ltd./ its Directors and promoters to wind up the existing CIS and refund monies which have been collected from its customers/ investors in violation of provisions of the SEBI Act and SEBI (Collective Investment Schemes) Regulations, 1999 (CIS Regulations), within 3 months from the date of the order.

2.2. The aforesaid order of SEBI was challenged before the Securities Appellate Tribunal, Mumbai ("SAT") which, vide Order dated 12.08.2015, upheld the SEBI Order dated 22.08.2014.

2.3. Thereafter, appeals by PACL Ltd. and its directors challenging the SAT Order dated 12.08.2015 were preferred before the Hon'ble Supreme Court of India. The Hon'ble Supreme Court, vide order dated 02.02.2016, in the matter of C. A. No. 13301 of 2015 titled as Subrata Bhattacharya Vs. SEBI and other connected matters, directed SEBI to constitute a Committee under the Chairmanship of

Justice (Retd.) R. M Lodha for disposing of the properties of PACL Ltd. and use the proceeds to refund the investors.

2.4. As per order dated 02.02.2016 passed by the Hon'ble Supreme Court in Civil Appeal No. 13301 of 2015 in Subrata Bhattacharya Vs. SEBI, and other connected matters, a Committee under the Chairmanship of Justice (Retd.) R.M. Lodha was constituted, with WTM and ED of SEBI dealing with the PACL matter as ex-officio members of the Committee. The Nodal Officer, who is an officer envisaged in the Hon'ble Supreme Court's order dated 02.02.2016 and officers in PACL Cell, assist the Committee in its functioning. In addition, in compliance with the order dated 08.08.2024 passed by the Hon'ble Supreme Court in the aforesaid matter, presently, there are five Recovery Officers attached to the Committee for the purpose of dealing with the objections with respect to the properties of PACL Ltd., encumbered/attached by the Committee. As on date, 137 Meetings of the Committee have taken place.

2.5. [Excised for reason of confidentiality]

3. Developments made by Justice (Retd.) R.M. Lodha Committee in the matter of PACL Ltd. are as follows:

3.1. As on 31.03.2025, the Committee has effected refunds in respect of 22,16,132 eligible applications with outstanding claim (principal) amount upto ₹20,000/-, aggregating to a total disbursal of approx. ₹ 1,163.00 Crore. The Committee has provided facility for investors to check the status of refund in SEBI PACL Refund Portal (<https://www.sebipaclrefund.co.in/Refund/Enquiry>).

3.2. The Committee has been handed over possession of around 43,000 property documents belonging to PACL Ltd./PACL Associates, spread across 22 states in India. The Committee has issued communications to the Inspector General of Registrations of respective states to take necessary steps to not to effect the

registration/mutation/sale etc. of the properties wherein PACL Ltd. and/or its group/associate companies, have, in any manner, a right/interest.

3.3. The Committee receives objections from various individuals/entities objecting the restraint on the properties. Earlier, a retired district judge, Shri R.S. Virk was appointed by the Committee to hear these objections and pass orders recommending either continuation of the restraint or to release the properties. However, vide order dated 08.08.2024, the Hon'ble Supreme court directed that, no new application/objection to be filed before Shri R.S. Virk, and the Committee may deal with such applications/objections, if filed before it, and dispose them of as per the provisions contained under Section-28A of the SEBI Act. In compliance thereof, presently 05 Recovery officers have been attached to the Committee to deal with such applications/objections filed before the Committee. The objection applications are heard by 05 Panels consisting of 03 Recovery Officers, each. [Excised for reason of confidentiality]

3.4. [Excised for reason of confidentiality]

3.5. [Excised for reason of confidentiality]

3.6. [Excised for reason of confidentiality]

3.7. As regards the sale of properties, the Hon'ble Supreme Court, by an order dated 23.01.2020, inter alia, had requested the Committee to finalise and notify the terms and conditions for the sale of properties of PACL Ltd, including the terms and conditions stipulated by the Hon'ble Supreme Court. The Hon'ble Supreme Court had further requested the Committee to submit a report after the conclusion of the above process. The Committee, thereafter, took the requisite steps and at the end of the process, received only four offers. However, none of these offers met the condition of submission of EMD of ₹150 crore, as stipulated by Hon'ble Supreme Court. The Committee, accordingly, filed its report in the Hon'ble Supreme Court on 05.03.2020.

3.8. The Committee, thereafter, in a report dated 24.09.2021 has suggested two proposals/ options for the sale of properties of PACL Ltd for the consideration of the Hon'ble Supreme Court, viz:

- Proposal I - Proposal to sell 1000 properties of the highest book value; and
- Proposal II - Proposal for the sale of all the properties in a cluster (all properties in a district to be considered as one unit).

3.9. The Hon'ble Supreme Court vide its order dated 08.08.2024 in Civil Appeal No.13301/2015, has accepted the above proposal II and accordingly, the Committee has initiated the process for auction of properties of PACL in district clusters. The Committee has appointed two agencies for assisting the Committee to conduct the auction i.e, SBICAPS and Stock Holding DMS (SHDMS). The auction process is undertaken in three phases –screening of documents, valuation of properties and e- auction of properties. Request for proposals have so far been issued for auction of properties in 31 districts spread across 11 States. Pursuant thereto, properties have been sold in 7 districts spread across 3 States. Auction of properties in 14 districts across 5 States is underway. For properties in other districts across India the screening, valuation and other related process is underway.

3.10 So far properties worth approx. Rs. 630 Crore have been auctioned. Further, already the Committee has approx. Rs. 160 Crore in the designated bank account of the Committee. Thus, at present approx. Rs. 790 Crore is available with the Committee. The Committee is initiating refund to investors falling in the claim range of Rs. 20,001 to Rs. 23,000. In this slab approx. Rs. 550 Crore are likely to be refunded to approx. 3.20 lakh investors, however, the exact amount required for the said refund exercise would be ascertained after verification of bank account of the investors, which is going to be initiated shortly by the Committee.

4. **Other ongoing issues with respect to the properties of PACL:**

4.1. [Excised for reason of confidentiality]

4.2. [Excised for reason of confidentiality]

5. This memorandum is placed before the Board, for information.